IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

CP(CAA) - 99(ND)/2021

CONNECTED WITH

CA(CAA) - 81(ND)/2021

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

OF

M/s. FLORA DISTRIBUTORS PRIVATE LIMITED

..... Petitioner Company No. 1/ Transferor Company No. 1

AND

M/s. GEET INFRACON PRIVATE LIMITED

..... Petitioner Company No. 2/ Transferor Company No. 2

AND

M/s. RED CHILLI INFOTECH PRIVATE LIMITED

..... Petitioner Company No. 3/ Transferor Company No. 3

AND

M/s. TECHNOFAB CONSTRUCTION PRIVATE LIMITED

..... Petitioner Company No. 4/ Transferor Company No. 4

AND

M/s. VALUE DISTRIBUTORS PRIVATE LIMITED

..... Petitioner Company No. 5/ Transferor Company No. 5

AND

M/s. MBM BEARINGS (RAJASTHAN) PRIVATE LIMITED

..... Petitioner Company No. 6/ Transferor Company No. 6

WITH

M/s. PRECIOUS TRADEWAYS PRIVATE LIMITED

..... Petitioner Company No. 7/ Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Delivered On: 19.02.2024

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	:	Mr. Vijay Kumar Gupta, CA
For the IT Department	:	Mr. Ruchir Bhatia, Sr. Standing Counsel & Mr. Pratyaksh Gupta, Jr. Standing Counsel with Mr. Ashish Kumar, Adv.
For the Official Liquidator	:	Ms. Hemlata Rawat, Mr. Rahul Bhatt, Advs.
For the Regional Director	:	Ms. Shankari Mishra, Ms. Niharika Tanwar, Advs.

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. The present Second Motion Petition is filed jointly by the M/s. Flora Distributors Private Limited (Petitioner Company No. 1/ Transferor Company No. 1), M/s. Geet Infracon Private Limited (Petitioner Company No. 2/ Transferor Company No. 2), M/s. Red Chilli Infotech Private Limited (Petitioner Company No. 3/ Transferor Company No. 3), M/s. Technofab Construction Private Limited (Petitioner Company No. 4/ Transferor Company No. 4), M/s. Value Distributors Private Limited (Petitioner Company No. 5/ Transferor Company No. 5), M/s. MBM Bearings (Rajasthan) Private Limited (Petitioner Company No. 6/ Transferor Company No. 6) and M/s. Precious Tradeways Private Limited (Petitioner Company No. 7/ Transferee Company) under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation between the Transferor Company and Transferee Company and their respective shareholders and creditors (Scheme).

2. The Registered office address of each Petitioner Company is situated in the NCT of Delhi and therefore, it is under the jurisdiction of the National Company Law Tribunal, New Delhi.
3. Transferor Company No. 1 namely M/s. Flora Distributors Private Limited, bearing CIN: U52399DL2009PTC186943 was incorporated on 23/01/2009 under the provisions of the Companies Act, 1956 as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Transferor Company No. 1 is situated at 101, First Floor, Barodia Tower, D-Block, Central Market, Prashant Vihar, Rohini, New Delhi-110085. The Authorized Share Capital of the Company is Rs. 9,50,000/- and the issued, subscribed and paid-up share capital of the Company is Rs. 9,08,000/-.
4. Transferor Company No. 2 namely M/s. Geet Infracon Private Limited, bearing CIN: U45400DL2008PTC185193 was incorporated on 25/11/2008 under the provisions of the Companies Act, 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office of Transferor Company No. 2 is situated at 101, First Floor, Barodia Tower, D-Block, Central Market, Prashant Vihar, Rohini, New Delhi-110085. The Authorized Share Capital of the Company is Rs.14,00,000/- and issued, subscribed and paid-up share capital of the Company is Rs. 13,48,750/-.
5. Transferor Company No. 3 namely M/s. Red Chilli Infotech Private Limited, bearing CIN: U72200DL2009PTC186972 was incorporated on 27/01/2009 under the provisions of the Companies Act, 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office of Transferor Company No. 3 is situated at House No. 68, Ground Floor, Block-H, Pocket-34, Sector-3, Rohini, New Delhi-110085. The Authorized Share Capital of the Company is Rs. 10,00,000/- and issued, subscribed and paid-up share capital of the Company is Rs. 9,64,000/-.

6. Transferor Company No. 4 namely M/s. Technofab Construction Private Limited, bearing CIN: U28998DL2011PTC225621 was incorporated on 28/09/2011 under the provisions of the Companies Act, 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office of Transferor Company No. 4 is situated at 314, R.G. Mall Sector-9, Rohini, New Delhi-110085. The Authorized Share Capital of the Company is Rs. 2,00,000/- and issued, subscribed and paid-up share capital of the Company is Rs. 2,00,000/-.
7. Transferor Company No. 5 namely M/s. Value Distributors Private Limited, bearing CIN: U52100DL2009PTC186888 was incorporated on 22/01/2009 under the provisions of the Companies Act, 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office of Transferor Company No. 5 is situated at 101, First Floor, Barodia Tower, D-Block, Central Market, Prashant Vihar, Rohini, New Delhi-110085. The Authorized Share Capital of the Company is Rs. 7,00,000/- and issued, subscribed and paid-up share capital of the Company is Rs. 6,59,000/-.
8. Transferor Company No. 6 namely M/s. MBM Bearings (Rajasthan) Private Limited, bearing CIN: U15511DL1997PTC376009 was incorporated on 09/06/1997 under the provisions of the Companies Act, 1956, as a Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office of Transferor Company No. 6 is situated at 101, First Floor, Barodia Tower, D-Block, Central Market, Prashant Vihar, Rohini, New Delhi-110085. The Authorized Share Capital of the Company is Rs. 16,50,000/- and issued, subscribed and paid-up share capital of the Company is Rs. 16,49,250/-.
9. Transferee Company namely M/s. Precious Tradeways Private Limited, bearing CIN: U52599DL2009PTC187022 was incorporated on 28/01/2009 under the provisions of the Companies Act, 1956, as a

Private Company Limited by Shares (Non-govt. Company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office of Transferee Company is situated at House No. 68, Ground Floor, Block-H, Pocket-34, Sector-3, Rohini, New Delhi-110085. The Authorized Share Capital of the Company is Rs. 9,50,000/- and issued, subscribed and paid-up share capital of the Company is Rs. 9,29,999/-.

10. It is stated that the Transferee Company viz., M/s. Precious Tradeways Private Limited has moved the necessary second motion Petition being **CP (CAA) – 99(ND)/2021** on 16.08.2021, connected with the first motion Application being **CA (CAA) – 81(ND)/2021**, before the National Company Law Tribunal, New Delhi.

11. The Board of Directors of the Transferor Companies and of the Transferee Company in their respective Board Meetings dated 04.01.2021 approved and adopted the proposed Scheme of Amalgamation.

    A Copy of the Board Resolution passed by the Board of Directors of the Transferor Company and of the Transferee Company, inter alia, approving the Scheme and the filing thereof with this Tribunal has been placed on record.

12. The amalgamation of the Transferor Companies with the Transferee Company would inter alia have the following benefits:

    "i. Pooling of resources and infrastructure of the entities to their common advantage, resulting in a more productive utilization of the resources, costs and operational efficiencies, faster and effective decision making and its implementation, which would be beneficial for all stakeholders;

    ii. Integrate, rationalize and streamline the management and administrative structure of the merged business and achieve cost saving.

    iii. Avoid duplication of regulatory compliances and statutory filings with various government departments;

iv. Greater economies of scale, reduction in overheads and other expenses; and

v. Greater efficiency in cash management of the Transferee entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, to maximize shareholder value.

vi. Facilitate inter transfer of resources and costs and optimum utilization of Assets.

vii. Synchronizing of efforts to achieve uniform corporate policy.

viii. To reflect the consolidated net worth of these companies in one balance sheet."

13. Upon the coming into effect of the Scheme and in consideration for the transfer of and vesting of the properties, assets, properties, undertaking, debts and liabilities of the Transferor Companies in the Transferee Company in terms of this Scheme, the Transferee Company shall without any further application, act, instrument or deed, discharge the consideration in the following manner:

"i. 0.86 fully paid up equity share of Rs. 1/- each in the Transferee Company shall be issued and allotted for every 1 (One) equity share of Rs. 1/- each held in the Transferor Company No. 1.

ii. 6.43 fully paid up equity share of Rs. 1/- each in the Transferee Company shall be issued and allotted for every 1 (One) equity share of Rs. 10/- each held in the Transferor Company No. 2.

iii. 0.80 fully paid up equity share of Rs. 1/- each in the Transferee Company shall be issued and allotted for every 1 (One) equity share of Rs. 1/- each held in the Transferor Company No. 3.

iv. 9.10 fully paid up equity share of Rs. 1/- each in the Transferee Company shall be issued and allotted for every 1

(One) equity share of Rs. 10/- each held in the Transferor Company No. 4.

v. 0.78 fully paid up equity share of Rs. 1/- each in the Transferee Company shall be issued and allotted for every 1 (One) equity share of Rs. 1/- each held in the Transferor Company No. 5.

vi. 7.89 fully paid up equity share of Rs. 1/- each in the Transferee Company shall be issued and allotted for every 1 (One) equity share of Rs. 10/- each held in the Transferor Company No. 6."

14. This Tribunal by its order dated 05.08.2021 dispensed with the requirement to convene the meetings of the Shareholders and Creditors of all the Petitioner Companies, as sought through first motion application.

15. This Tribunal vide order dated 05.08.2021 and 22.08.2022 directed to issue notice to the Regional Director (Northern Region), Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana, Ministry of Corporate Affairs, Official Liquidator attached to the High Court of Delhi, Reserve Bank of India, Income Tax Department and Such other Sectoral Regulatory Authorities who shall be affected by the proposed Scheme and to such other Objector(s), if any, and also direct that the notice be published in two newspapers i.e., Business Standard (English) and Business Standard (Hindi) Delhi Edition.

16. It is submitted by the Petitioners that in compliance of the above-stated directions, the Petitioners duly filed an Affidavit of Service dated 11.08.2021, 15.09.2021 and 30.09.2021 by confirming that the aforesaid Notices of the present Company Petition were published in Business Standard (English) and Business Standard (Hindi) Delhi Edition.

    It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities as per the direction given by this Tribunal dated 05.08.2021 and 22.08.2022.

17. The Regional Director along with the Registrar of Companies vide it's report dated 17.02.2023 has not objected to the proposed scheme of the amalgamation but has made certain observations. The petitioner companies filed reply dated 16.03.2023 in response to the observations made by the Regional Director and Registrar of Companies, wherein the petitioner companies gave an undertaking to appropriately comply with the observations made by the Regional Director and Registrar of Companies.
18. The Official Liquidator vide it's report dated 28.03.2023 submitted to this tribunal stating therein that they have no objection with respect to the present scheme of amalgamation.
19. Though notices were served to all the concerned statutory authorities and the paper publication was done consequent to the order passed by this tribunal on 05.08.2021 and 22.08.2022. The Income Tax Department chose not to submit any report. Further, the Petitioner Companies filed an Affidavit dated 12.04.2023 stating that all liabilities on account of Income Tax of whatsoever kind, nature and description and including those that arise on account the amalgamation and in pursuance of the Second Motion Merger Petition filed by the Applicant Companies shall be taken care of by the Transferee Company and same is also mentioned in Clause 5.2 of the Approved Scheme of Amalgamation filed before the National Company Law Tribunal, New Delhi.
20. All the Petitioner Companies shall account in accordance with and as per the method of amalgamation prescribed in the applicable Indian Accounting Standard as notified under Section 133 of Companies Act, 2013 read together with Paragraph 3 of the Companies (Indian Accounting Standard) Rules, 2015 and other accounting principles generally accepted in India.

    In this regard, Certified true copies of Certificates obtained from the Statutory Auditors of all the Petitioner Companies confirming the accounting treatment proposed in the Scheme of Amalgamation has been placed on record.

21. No investigation proceedings have been instituted and are pending in relation to either of the Petitioner Companies under Sections 235 to 251 of the Act or under Sections 206 to 229 (Chapter XIV) of the Act. To the knowledge of each of the Petitioner Companies, no winding-up petition (including under Section 433 read with Section 434 of the Companies Act, 1956) and/or insolvency proceedings have been filed/instituted and are pending against either of the Petitioner Companies. None of the directors of the Petitioner Companies have any material interest in the Scheme except to the extent of their directorships and shareholding in the Petitioner Companies. This Joint Second Motion Petition is made bona fide and in the interest of justice and no one will be prejudiced if orders are made/or directions are given as prayed for.

22. **Analysis and Finding:**

i. After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Transferor Companies and the Transferee Company and the Scheme will be beneficial to the Transferor Companies, Transferee Company and their respective shareholders and creditors.

ii. The shareholders of the Petitioner Company are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

iii. It has also been affirmed in the petition that the Scheme is in the interest of both the Transferor Companies, Transferee Company,

their respective shareholders, creditors, employees and all concerned.

In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

23. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

i. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 230 (1) of the Act, the Transferee Company shall until the full implementation of the Scheme of Amalgamation filed stated in Form CAA 8 along with the required fee as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The appointment date as proposed in IA(Com.A.)-3/2023 i.e., 01.04.2022 by the Petitioner Company is confirmed by this Tribunal.

24. This Tribunal does further order: -

i. That the Transferor Companies shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor Companies subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company; and

iv. That all proceedings now pending by or against the Transferor Company shall be continued by or against the Transferee Company; and

v. That all the employees of the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date; and

vi. That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferee Company shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

25. Accordingly, the Scheme stands **sanctioned** and **CP(CAA)/99 (ND)/2021** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

Sd/-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

Sd/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

IA(Com.A.)-3/2023

In

CP(CAA)-99/ND/2021

Connected With

CA(CAA)-81(ND)/2021

Under Rule 11 read with Rule 32 read with Rule 34 of the National Company Law Tribunal Rules, 2016

IN THE MATTER OF SCHEME OF AMALGAMATION

OF

M/s. FLORA DISTRIBUTORS PRIVATE LIMITED

..... Petitioner Company No. 1/ Transferor Company No. 1

AND

M/s. GEET INFRACON PRIVATE LIMITED

..... Petitioner Company No. 2/ Transferor Company No. 2

AND

M/s. RED CHILLI INFOTECH PRIVATE LIMITED

..... Petitioner Company No. 3/ Transferor Company No. 3

AND

M/s. TECHNOFAB CONSTRUCTION PRIVATE LIMITED

..... Petitioner Company No. 4/ Transferor Company No. 4

AND

M/s. VALUE DISTRIBUTORS PRIVATE LIMITED

..... Petitioner Company No. 5/ Transferor Company No. 5

AND

M/s. MBM BEARINGS (RAJASTHAN) PRIVATE LIMITED

..... Petitioner Company No. 6/ Transferor Company No. 6

WITH

M/s. PRECIOUS TRADEWAYS PRIVATE LIMITED

..... Petitioner Company No. 7/ Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Delivered On: 19.02.2024

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Vijay Kumar Gupta, CA

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. The present Application is filed jointly by the M/s. Flora Distributors Private Limited (Petitioner Company No. 1/ Transferor Company No. 1), M/s. Geet Infracon Private Limited (Petitioner Company No. 2/ Transferor Company No. 2), M/s. Red Chilli Infotech Private Limited (Petitioner Company No. 3/ Transferor Company No. 3), M/s. Technofab Construction Private Limited (Petitioner Company No. 4/ Transferor Company No. 4), M/s. Value Distributors Private Limited (Petitioner Company No. 5/ Transferor Company No. 5), M/s. MBM Bearings (Rajasthan) Private Limited (Petitioner Company No. 6/ Transferor Company No. 6) and M/s. Precious Tradeways Private Limited (Petitioner Company No. 7/ Transferee Company) under Rule 11 read with Rule 32 read with Rule 34 of the National Company Law Tribunal Rules, 2016 for change of appointed date from 01st April 2021 to 01st April 2022 in the second motion petition (CAA)-99/ND/2021 connected with CA(CAA)-81(ND)/2021 for sanction of amalgamation of Six Transferor Companies with the Transferee Company under Sections 230-232 of the Companies Act, 2013 and Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (as amended from time to time).
2. We have heard the Ld. Counsel appearing for the Petitioner Companies and also perused the records. We deem it appropriate to change the appointed date from 01st April 2021 to 01st April 2022 in the second motion petition (CAA)-99/ND/2021 connected with CA(CAA)-81(ND)/2021.

3. Accordingly, the IA(Com.A.)-3/2023 stands **allowed** in the above terms. Let copy of the order be served to the parties.

Sd/-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

Sd/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)